



SANJAY CHANDRA
Unitech

PURPOSE: To retire a part of its Rs 8,900-crore debt

MODE: Qualified institutional placement of shares, which was over-subscribed

SHEKHAR GHOSH

Rs 1,625 crore

seeking desperate capital.

The India story got a leg-up between 2005 and 2008 due to the huge capital expenditure plans that companies lined up for capacity expansion. But this time around, Indian companies are seeking capital primarily to clean up their balance sheets. Last year, when the markets tanked in February, several companies who had raised debt and were ready to tap the capital market, were caught by surprise. Such companies have been stuck with high levels of debt as they have not been able to raise equity capital. Says Sivasubramanian K.N., senior portfolio manager (Equity) at Franklin Templeton: "A significant portion of re-

cent funding is being sought to reduce debt and such companies are taking the equity route. Some of them might be looking at the debt route to take advantage of the low interest rates and speedier disbursement of funds. We have recently seen this trend globally with Microsoft tapping the bond markets for the first time in its history."

An apt example of companies raising equity capital to improve debt-equity ratio are Unitech and Bajaj Hindusthan. The real estate player's debt burden increased from Rs 8,552

SHISHIR KUMAR BAJAJ

Bajaj Hindusthan

PURPOSE: To reduce debt on its balance sheet

MODE: To issue securities in one or more international markets over multiple tranches

UMESH GOSWAMI

Rs 1,500 crore

covery trend might be premature."

There are some exceptions to this rule as well. Aditya Birla Nuvo, a company that has under its umbrella the carbon black business, viscose and sunrise business segments like apparel and financial services, raised a debt of Rs 1,500 crore earlier this year and is now preparing to raise equity capital for its expansion plans. While the financial services sector may not have shown much promise, mutual fund and insurance businesses of the Aditya Birla Group have beaten the industry's growth rates. Says Sushil Kumar, chief financial officer of Aditya Birla Nuvo: "Even in the tough environment of last financial year our life insurance and asset management businesses delivered substantially higher growth compared to the industry and gained a handsome market share."

So what does this mean for the economy and capital markets? While there's no doubt that capital flows into viable projects are positive for the economy, this trend will also help in arresting the current moderation being witnessed in investment growth. This, along with steady growth in consumption, places the Indian economy in an enviable position. Given that this is just the beginning of a turnaround in the credit crisis, not much should be read into this trend unless it continues for at least two to three quarters, maintain the pundits. ■

KISHORE BIYANI

Future Group

PURPOSE: To improve cash flows and capital expenditure

MODE: Raised Rs 336 crore by allotting equity and warrants. Rest to be raised via stake sales.



UMESH GOSWAMI

Rs 1,500 crore

crore on March 31, 2008, to Rs 10,907 crore by December 2008. With the QIP dilution, its debt-equity ratio will fall to 1.4 from a high of 2.4 in December. Krishnan, however, has a warning for those looking to raise equity capital: "Given that markets remain volatile, windows of opportunity are coming and going quickly, so companies will have to be prepared with relevant permissions or the conditioning to act whenever opportunities arise. While India is no doubt benefiting on a relative basis now, there is still mixed evidence on the underlying global economic fundamentals and to, therefore, suggest that this is a secular re-

G. MALLIKARJUN RAO
GMR

PURPOSE: For capital expenditure

MODE: Private placement or QIP route in domestic or international markets

Rs 5,000 crore

DEEPAK GAWAR

